

Introduction

During my consulting internship at PwC Korea, Hanwha Aerospace was one of my clients. Our team supported the company's digital manufacturing transformation by benchmarking leading global defense manufacturers.

This project changed how I think about evaluating manufacturing businesses. I began asking how manufacturing capabilities ultimately translate into revenue growth, margins, and shareholder value. This curiosity led me to research Hanwha Aerospace from an investor's perspective.

About Hanwha Aerospace

Hanwha Aerospace is South Korea's largest integrated defense company. While the name suggests an aerospace manufacturer, the company has expanded significantly through acquisitions and restructuring and now operates across four major defense businesses. It manufactures land defense systems such as the K9 self-propelled howitzer and Chunmoo multiple rocket launcher, aircraft engines and space propulsion systems, defense electronics and command systems through Hanwha Systems, and naval defense through Hanwha Ocean, one of the world's leading shipbuilders.

Catalysts

1. Large Contracts and Backlog Expansion

(USD B)	2021	2023	2024	2025	Growth
Defense Order Backlog	7.6	24.8	28.4	28.7	+278% (2021-25)
Revenue	-	3.6	5.7	6.8	+59% → +20%
Operating Profit	-	0.37	1.07	1.44	+189% → +35%
Cash & Cash Equivalents	-	0.61	0.98	3.01	+61% → +207%

Since 2021, Hanwha Aerospace has significantly expanded its defense order backlog through large export contracts with Poland, Egypt, Australia, and Romania. The defense order backlog increased from USD 7.6 billion at the end of 2021 to USD 28.7 billion as of June 2025. Because an order backlog represents contracted work that has not yet been recognized as revenue, it serves as a leading indicator of future revenue visibility. As these contracts entered production and delivery, revenue and operating

profit increased substantially, while cash and cash equivalents also strengthened, providing greater financial flexibility to support future capacity expansion and capital investments.

2. Diversified Business Portfolio

Segment	Revenue Contribution
Hanwha Ocean	56%
Land Systems	21%
Hanwha Systems	14%
Aerospace	11%

Hanwha Aerospace has transformed from a traditional aircraft engine manufacturer into a diversified defense holding company through a series of strategic acquisitions and group restructuring. Today, the company consolidates several key subsidiaries, including Hanwha Ocean (naval shipbuilding), Hanwha Systems (defense electronics and IT), and Satrec Initiative (space systems). As a result, investors purchasing Hanwha Aerospace shares gain exposure to multiple defense businesses spanning land, sea, air, and space, rather than a single aerospace business.

Although the company is named Hanwha Aerospace, Hanwha Ocean has become its largest revenue contributor, accounting for more than half of total sales. Meanwhile, Land Systems, Hanwha Systems, and Aerospace continue to provide additional growth drivers. This demonstrates that Hanwha Aerospace has evolved from a traditional aerospace manufacturer into a diversified defense company with multiple engines of growth, making its earnings less dependent on any single business segment.

Investment Thesis 1: The Market Underestimates the Long-Term Value of Hanwha's Global Localization Strategy

My first investment thesis is that the market underestimates how localization is reshaping global defense procurement. Winning modern defense contracts increasingly requires more than offering the best product. Governments now expect defense companies to manufacture equipment locally, transfer technology, build domestic industrial capabilities, and provide long-term maintenance support. I believe these capabilities are becoming just as important as product performance in securing future contracts.

I believe Hanwha Aerospace is particularly well positioned to benefit from this structural shift.

During my consulting internship at PwC Korea, Hanwha Aerospace was internally preparing for further global expansion, and one of its key priorities was determining how headquarters could effectively manage and support a growing network of overseas production sites. Our project focused on benchmarking how leading defense companies such as Rheinmetall organized their global manufacturing operations. We researched how headquarters maintained visibility across overseas subsidiaries, how engineering and manufacturing data were standardized across production sites, and how organizational structures balanced headquarters oversight with local execution. The objective was to build an operating model that would allow Hanwha Aerospace to scale global manufacturing while maintaining consistent quality, operational efficiency, and centralized control.

This direction is reflected in the company's long-term strategy. Hanwha Aerospace plans to invest approximately KRW 11 trillion through 2028 to expand overseas production capacity, establish production bases and joint ventures across the United States, Europe, the Middle East, and Asia, and strengthen its global manufacturing footprint.

I view these investments as strategic growth investments rather than maintenance CAPEX. Expanding overseas manufacturing capacity enables Hanwha Aerospace to satisfy customers' localization requirements, shorten delivery times, facilitate technology transfer, strengthen industrial partnerships, and provide localized maintenance and lifecycle support. I believe these investments will improve Hanwha Aerospace's competitiveness in future international defense procurements and increase the likelihood of securing follow-on contracts. Therefore, the market has yet to fully appreciate the long-term value of the company's localization strategy and the operating capabilities being built to support it.

Investment Thesis 2: The Market Underestimates Hanwha Aerospace's Manufacturing Competitive Advantage

Today, Hanwha Aerospace has established itself as a highly competitive defense manufacturer through competitiveness, rapid delivery, and proven manufacturing execution. For example, the K9 self-propelled howitzer is estimated to cost KRW 2–4 billion less than comparable German systems, while maintaining proven operational performance. In addition, Hanwha delivered the first 24 K9 howitzers to Poland just two months after signing the contract in 2022, demonstrating manufacturing capabilities that many competitors struggled to match during the post-Ukraine surge in defense demand.

However, I believe the market is primarily valuing Hanwha Aerospace based on these existing strengths while overlooking the next phase of operational improvement. One insight I gained while working on the Hanwha Aerospace project was that the company was evaluating enterprise-wide digital manufacturing initiatives. One key challenge was that engineering and manufacturing data were managed in separate systems, requiring manual updates whenever engineering changes occurred. This created revision risks and unnecessary production inefficiencies. As part of the project, I benchmarked Digital Thread implementations at leading global defense

companies such as Rheinmetall and Lockheed Martin. Leading defense companies address this by integrating engineering and manufacturing data into a single digital workflow, allowing design changes to flow automatically into production while improving visibility across global factories.

If the company successfully implements enterprise-wide digital manufacturing while simultaneously expanding overseas production through new factories and joint ventures, it should be able to further reduce production inefficiencies, shorten lead times, and scale global manufacturing more effectively.

These improvements would strengthen Hanwha's existing advantages in cost, delivery speed, and localization—factors that are becoming increasingly important as governments prioritize rapid procurement and domestic industrial participation. In my view, the combination of digital manufacturing transformation and global production expansion has the potential to further widen Hanwha Aerospace's competitive moat and support sustained market share gains in the global defense industry.

Valuation

	Hanwha Aerospace	Hyundai Rotem	LG Nexone
P/E (As of June 26, 2026)	35.4x	24.07x	63.34x
P/B	5.37x	6.02x	11.23x
EV/EBITDA (Estimated)	20.3x	15.7x	36.4x
ROE (TTM)	13.1%	25.3%	16.1%

Hanwha Aerospace trades at a valuation between Hyundai Rotem and LIG Nex1 on a P/E basis, while carrying the lowest P/B multiple among the three companies. Although Hanwha currently generates the lowest ROE, its valuation does not command the premium multiple assigned to LIG Nexone, nor does it trade at the discount observed for Hyundai Rotem. This suggests that the market is pricing Hanwha as a fairly valued peer within the Korean defense sector.

Overall, Hanwha Aerospace appears fairly valued relative to Korean defense peers based on conventional valuation metrics. However, I believe the market is primarily pricing the company's current financial performance while underappreciating the long-term earnings potential from its localization strategy and digital manufacturing transformation. For that reason, I believe the stock still has meaningful upside.

Risks and Mitigation

1. Risk

My investment thesis assumes that elevated global defense spending will remain supportive of new contract awards. If geopolitical tensions ease or governments reduce defense budgets, export demand could moderate, leading to slower order growth and lower long-term revenue visibility.

2. Mitigant

Despite potential short-term fluctuations, many countries have already committed to multi-year defense modernization programs. In particular, NATO members recently agreed to increase defense spending targets, while many countries continue replacing aging military equipment, providing structural support for long-term defense demand.

Conclusion

I believe Hanwha Aerospace offers an attractive long-term investment opportunity. The company has already established itself as one of the world's leading defense manufacturers through its expanding order backlog, diversified defense portfolio, and proven manufacturing capabilities. However, I believe the market is primarily valuing these existing strengths while underappreciating the long-term earnings potential from its global localization strategy and digital manufacturing transformation.

My experience working on Hanwha Aerospace's manufacturing transformation gave me a different perspective on how the company is building the operational capabilities needed to support its next phase of global growth. As these investments translate into greater manufacturing efficiency, expanded overseas production, and stronger competitiveness in future defense procurements, I believe the market will increasingly recognize their value. For these reasons, I believe Hanwha Aerospace has meaningful long-term upside despite appearing fairly valued on conventional valuation metrics today.